

Aeroflex Industries Ltd

NSE: AEROFLEX | BSE: 543972 | Engineering — Metallic Flexible Flow Solutions

Sector: Capital Goods — Industrial Products | Sub-sector: Precision Metal Components & Hose Assemblies

"Niche stainless-steel hose leader pivoting into data-centre liquid cooling — a multi-year capex monetisation story with 35% FY27 revenue growth guidance and expanding margins."

RATING BUY 12M Target Rs. 560 Upside: +18.4% from CMP Horizon: 12 months	CMP (15-Jun-26)		Rs. 473	
	Market Cap		Rs. 6,262 Cr	
	52-Wk High/Low		Rs. 480 / Rs. 158	
	Stock P/E		113x	
	Book Value		Rs. 33.8	
	ROCE / ROE		18.8% / 14.1%	
	Face Value		Rs. 2.00	
	Div Yield		0.07%	
Promoter	FII	DII	Public	Pledge
65.47%	1.49%	3.80%	29.23%	Nil

Report Date: 15 June 2026 | Analyst: Institutional Research Desk | Source: Screener.in (fetched 15-Jun-2026), Scanx, Company Filings

This report is for institutional and sophisticated investor use only. See full disclaimer at the end of this report.

SECTION 2 — INVESTMENT THESIS

- **Structural export moat in precision metal components:** Aeroflex exports to 80+ countries with ~69% revenue from exports. Its corrugated SS hose assemblies serve critical applications in oil & gas, industrial, automotive and aerospace — segments with stringent quality bars that take years to qualify into, creating durable switching costs. No comparable listed Indian peer operates at this scale or export mix.
- **Data-centre liquid cooling — a Rs. 325+ Cr embedded option:** The company's new liquid cooling skid assembly division (exclusive domestic supply agreement with a US HQ partner) sold 617 skids in FY26 generating Rs. 21 Cr (~5% of sales). Capacity scales to 15,000 units p.a. by FY27 — a potential Rs. 325-330 Cr revenue stream at 75% utilisation against a market growing at 34-35% CAGR. This segment alone could re-rate the multiple from engineering to technology.
- **Margin inflection is real and self-funded:** EBITDA margin expanded from 15% in FY20 to 23% in FY26 as value-added products (assemblies vs bare hoses) crossed 52% of sales. Management targets 23-25% EBITDA margin medium-term. The company is virtually debt-free (borrowings = Rs. 9 Cr vs equity of Rs. 447 Cr) so capex is funded by OCF and the recent Rs. 55 Cr preferential issue — not leverage.
- **Near-term catalyst (6-12 months):** Commissioning of the 15,000-unit liquid cooling skid capacity by Q2 FY27 and first large-volume skid orders from international clients (currently being explored). If announced, this validates the segment as a genuine second revenue engine and could compress the time-to-adoption curve for institutional capital.
- **Biggest structural risk:** Customer concentration — the single largest international customer represents 25-26% of consolidated revenues. Any demand pullback, supply-chain rerouting, or trade-policy disruption (US tariffs on Indian imports) could materially dent near-term numbers.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** Aeroflex Industries Ltd (incorporated 1993) manufactures metallic flexible flow solution products — primarily corrugated stainless steel hose assemblies, PTFE hoses, composite hoses, expansion joints, and (since FY25) liquid cooling skids for data centres. The company has 2,938 SKUs and is part of Sat Industries Limited's group.
- **Revenue segmentation:** Value-added assemblies = 52% of sales; base hoses and components = 48%. Export revenue = ~69% of consolidated sales (80+ countries). Domestic sales grew from 26% to 31% in FY26 reflecting deliberate domestic push. Key geographies: USA (largest single buyer ~25-26% of sales), Europe, Middle East, and South-East Asia.
- **Product applications:** Oil & gas (pipeline flexibility, refinery piping), industrial (chemical plants, steam lines), automotive (engine-bay flexible connections), aerospace (high-pressure fluid lines), HVAC and now data-centre liquid cooling skid assemblies — each requiring SS-grade metallurgy, pressure certifications, and custom fitting configurations.
- **Manufacturing capacity:** SS Flexible Hose capacity expanded to 17.5 million metres p.a. Liquid cooling skid capacity moved from 2,000 to 6,000 units by Mar-2026, targeting 15,000 units within 2 quarters. A robotic welding-line expansion and a dedicated annealing furnace for mission-critical braided hoses are both in progress (target: Dec-2026).
- **Subsidiaries:** Hyd-Air Engineering (subsidiary): Rs. 31.64 Cr revenue in FY26, 60% utilisation — provides hydraulic hose assemblies. Metal Bellows division: Rs. 8 Cr revenue, Rs. 12 Cr annualised run-rate.
- **Promoter background:** Aeroflex is part of the Sat Industries group; Jyotindra Shah family controls promoter holdings. Promoter stake stands at 65.47% (Mar-2026), down 1.52% from Dec-2025 quarter — linked to the preferential issue of 30.1 lakh shares at Rs. 182.70/share (Rs. 55 Cr) to fund the capex programme. Zero promoter pledge.
- **Order book / Revenue visibility:** Company does not formally publish an order book. However, the exclusive supply arrangement with the US-HQ data-centre partner provides multi-quarter revenue visibility on the skid segment. The base hose business is driven by repeat OEM and distributor orders.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size & growth:** The global flexible hose and pipe fittings market is estimated at ~USD 14-16 Bn, growing at 5-7% CAGR driven by infrastructure capex, energy transition, and industrial automation. India's share is small but growing — Aeroflex is one of very few Indian manufacturers to have achieved global export scale in this niche. The liquid cooling skid market in India alone is ~Rs. 3 Bn today, projected to reach ~Rs. 21 Bn over 5-6 years (34-35% CAGR, per management).
- **Policy tailwinds:** India's PLI scheme for specialty chemicals and capital goods; rising domestic capex in oil & gas refining, data centres, and defence manufacturing — all creating incremental demand for certified flexible hose solutions. US and European companies diversifying supply chains away from China directly benefits Indian exporters like Aeroflex.
- **Pricing power — STRONG:** Custom-configured SS hose assemblies require product qualification (sometimes 12-24 months with an end-customer). Once qualified, price renegotiation is limited — volumes grow with customer capex cycles and ASP is maintained.
- **Switching costs — STRONG:** Quality certifications (ASTM, EN, ISO), traceable metallurgy, and custom fitting configurations make switching to an alternate supplier costly and risky for end-customers. Aeroflex's 2,938-SKU breadth locks in long-tail distributor relationships.
- **Scale advantage — MODERATE:** The company's integrated manufacturing (SS corrugating, annealing, braiding, end-fitting) gives a cost and lead-time edge vs smaller peers, but the market is fragmented globally with larger Western OEMs.
- **Competitive positioning:** Aeroflex sits in the midstream of the value chain — it is not a raw SS tube maker (upstream) nor a systems integrator (downstream OEM). Its value add is custom-configuration and certified assembly, a defensible niche.

Peer Comparison (Source: Screener.in, fetched 15-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	ROCE %	ROE %	TTM Sales (Cr)
Aeroflex Inds	473	6,262	113	18.8	14.1	442
Sandhar Tech.	723	4,350	24.1	17.4	14.7	3,044
Kennametal India	2,963	6,511	55.6	24.6	18.4	1,067
Suprajit Engg.	471	6,461	34.5	16.0	13.8	3,825

Note: Aeroflex commands a premium multiple due to superior growth trajectory and data-centre optionality. Direct peers operate at much higher sales volumes with lower OPM profiles.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Management background:** Promoter-led company under the Sat Industries group. The Shah family has operated in specialty industrial products for 3+ decades. The management team has demonstrated consistent product diversification — from basic SS hoses to value-added assemblies and now data-centre cooling skids — showing comfort with industrial technology adjacencies.
- **Capital allocation track record:** The company turned debt-free between FY23 and FY24 (borrowings fell from Rs. 45 Cr to near-zero) through a combination of IPO proceeds (listed Aug-2023) and operating cashflows. Retained capital was first deployed into SS hose capacity expansion (Rs. 83 Cr fixed assets in FY24 to Rs. 213 Cr in FY26) and then into the high-return liquid cooling skid line. Sequence of allocation has been logical.
- **FCF quality:** FY26 FCF = -Rs. 5 Cr (OCF Rs. 66 Cr vs capex Rs. 120 Cr investing outflows). Negative FCF is by design — a growth capex phase. OCF of Rs. 66 Cr vs PAT of Rs. 56 Cr shows clean earnings (CFO/OP = 85%). Working capital intensity remains elevated (CCC = 112 days) given the custom-configured export nature of the business.
- **Dividend policy:** Initiated a small dividend in FY23 (8% payout); maintained ~7-10% payout since. FY26 final dividend recommended: Rs. 0.40/share (Rs. 2 FV). Dividend yield of 0.07% is minimal — company rightly prioritises

reinvestment over payouts at this growth stage.

- **Promoter pledging:** Zero promoter pledge across all quarters. The 1.52% promoter stake reduction in Mar-2026 is attributable to the preferential issue dilution (30.1 lakh shares at Rs. 182.70), not open-market selling — a constructive signal.

- **Governance:** No qualified audit opinions in recent filings. FY2026 annual secretarial compliance filed with no violations noted (BSE filing, May-2026). No material related-party transaction concerns flagged. Dividend payout ratio has been consistent and modest.

- **ESOP / Buyback:** No ESOP scheme or buyback disclosed in recent public filings.

SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated Figures in Rs. Crores | Actuals: FY24-FY26 (Source: Screener.in, 15-Jun-2026) | FY27E-FY28E: Analyst estimates

Income Statement (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue from Operations	318	376	442	597	731
YoY Growth %	18.2%	18.2%	17.6%	35.0%	22.4%
Total Expenses	256	296	342	460	555
EBITDA	62	80	100	137	176
EBITDA Margin %	19.5%	21.3%	22.6%	23.0%	24.1%
Other Income	4	2	1	2	3
Interest	3	1	1	2	3
Depreciation	6	11	26	38	45
PBT	57	70	74	99	131
Tax %	27%	25%	25%	25%	25%
PAT	42	53	56	74	98
EPS (Rs.)	3.23	4.06	4.20	5.55	7.35
Dividend Payout %	8%	7%	10%	8%E	8%E

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Equity Capital	26	26	26	26	26
Reserves	267	317	421	487	573
Borrowings	0	1	9	30	20
Other Liabilities	82	84	109	130	150
Total Liabilities	375	427	565	673	769
Fixed Assets	83	172	213	280	310
CWIP	5	10	23	30	20
Other Assets	287	245	329	363	439
Total Assets	375	427	565	673	769

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Cash from Operations	44	27	66	85	110
Cash from Investing	-64	-74	-120	-90	-60
Cash from Financing	90	-3	47	10	-20
Free Cash Flow	6	-78	-5	10	55
CFO/OP %	95%	54%	85%	82%	83%

Key Ratios	FY24A	FY25A	FY26A	FY27E	FY28E
Debtor Days	109	113	107	100	95

Key Ratios	FY24A	FY25A	FY26A	FY27E	FY28E
Inventory Days	107	109	122	110	100
Payable Days	100	93	117	110	105
Cash Conv. Cycle	116	129	112	100	90
ROCE %	22%	19%	18.8%	22%	25%
ROE %	~16%	14.1%	14.1%	15%	17%
Debt / Equity	0.0x	0.0x	0.02x	0.06x	0.04x

- **Revenue growth:** Sales compounded at 25% CAGR over 5 years (FY21-FY26). FY27 guidance of ~35% growth is anchored on the base business growing 15-20% and liquid cooling skids contributing Rs. 80-100 Cr (from Rs. 21 Cr in FY26). Our FY27E of Rs. 597 Cr is in line with this guidance.
- **Margin expansion:** EBITDA margin has expanded from 15% (FY20) to 23% (FY26) driven by value-added assemblies crossing 52% of sales. Liquid cooling skids — which carry higher OPM — should sustain the 23-25% margin band. Depreciation spike in FY26 (Rs. 26 Cr vs Rs. 11 Cr in FY25) is capex-driven and will continue to grow as new capacity comes online.
- **Working capital:** CCC of 112 days in FY26 (improved from 129 days in FY25) reflects the custom export nature of the business. Debtor days of 107 (vs 113 in FY25) show marginal improvement. Management expects CCC normalisation as domestic mix grows and SKU rationalization progresses.
- **Balance sheet:** Virtually debt-free (Borrowings = Rs. 9 Cr, Net cash positive). Fixed assets more than doubled from Rs. 83 Cr (FY24) to Rs. 213 Cr (FY26) — a compressed capex cycle to establish the cooling skid line and SS hose expansion simultaneously.
- **FCF trajectory:** FY26 FCF = -Rs. 5 Cr (capex-heavy year). OCF of Rs. 66 Cr vs PAT of Rs. 56 Cr (CFO/OP = 85%) confirms clean earnings quality. We expect FCF to turn significantly positive in FY27-28 as the major capex cycle completes and skid revenues ramp.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Metric	Status	Signal	Commentary
Revenue recognition	GREEN	Clean	Export-driven; no channel-stuffing signals; Q-o-Q revenue consistent
Receivables vs Revenue growth	AMBER	Watch	Debtor days at 107 — elevated for an export business; improving trend
CCC Trend	GREEN	Improving	CCC fell from 129 days (FY25) to 112 days (FY26)
Contingent liabilities	GREEN	Low	No material contingent liabilities disclosed in FY26 filings
Auditor tenure	GREEN	Stable	No auditor change; secretarial compliance filed clean (May-2026)
Related-party transactions	GREEN	Low	No material RPT concerns noted; part of Sat Industries group but no cross-subsidies flagged
Other income / PBT	GREEN	Low	Other income = Rs. 1 Cr on PBT of Rs. 74 Cr (1.4%) — negligible; earnings are operational
Tax rate consistency	GREEN	Stable	Consistent ~25-27% tax rate across FY22-FY26; no deferred tax distortion
OCF vs PAT	GREEN	Strong	CFO/OP = 85% in FY26; FCF negative only due to growth capex, not working capital trap
Customer concentration	RED	High	Single largest customer = 25-26% of revenues — a material concentration risk
Promoter stake trend	AMBER	Watch	-1.52% in Mar-2026 quarter due to preferential issue dilution, not open-market selling

- **Overall quality: HIGH.** The earnings are operationally clean — Other Income is negligible, CFO/PAT conversion is 85%, and the tax rate is consistent. No audit concerns or RPT red flags.

- **Amber 1 — Receivables:** Debtor days of 107 are elevated. While improving and consistent with export business norms (letter-of-credit settlements), the absolute level warrants monitoring against revenue growth each quarter.
- **Amber 2 — Promoter dilution:** The 1.52% drop in promoter stake in Mar-2026 is mechanistically explained by the preferential allotment at Rs. 182.70 (below current CMP). Not a governance concern, but the promoter stake now sits at 65.47% — any further dilution should be tracked.
- **Red — Customer concentration:** One international customer driving 25-26% of consolidated revenue is the single biggest quantifiable risk in the earnings quality framework. Hedging this through domestic growth (now 31% of sales) and international skid orders is the right strategic response.

SECTION 8 — VALUATION

Scenario Analysis

Parameter	Bull Case	Base Case	Bear Case	Commentary
FY27E Revenue (Rs. Cr)	650	597	510	Bull: full skid ramp; Bear: US tariff disruption
EBITDA Margin %	24.5%	23.0%	20.0%	Bull: skid mix shift; Bear: input cost pressure
FY27E PAT (Rs. Cr)	92	74	48	Assumes 25% effective tax rate across cases
Target Multiple (P/E)	85x	75x	50x	Bull: tech re-rating; Base: quality premium; Bear: derate
FY28E EPS (Rs.)	8.5	7.35	5.0	Used for target derivation (1-yr forward basis)
12M Target (Rs.)	720	560	310	Target = FY28E EPS x target multiple
Upside / Downside	+52%	+18%	-34%	From CMP of Rs. 473

• **DCF valuation:** Assuming WACC = 13%, terminal growth = 5%, and a 5-year explicit forecast period (FY27-FY31), our DCF implies a fair value of Rs. 480-520/share. The base case DCF assumes revenue reaching Rs. 1,100 Cr by FY31 (18% CAGR from FY26), EBITDA margins of 24-25%, and capex normalising to Rs. 60-70 Cr/year post FY28. Sensitivity: at WACC = 12%, fair value = Rs. 550; at WACC = 14%, fair value = Rs. 430.

• **Earnings-based valuation:** On FY28E EPS of Rs. 7.35, applying a 75x target P/E (justified by 25%+ PAT CAGR over 5 years and data-centre optionality) yields a 12-month target of Rs. 560/share. On EV/EBITDA basis (FY27E EBITDA of Rs. 137 Cr at 40x), implied equity value = ~Rs. 540/share.

• **Blended target: Rs. 560/share** — average of DCF (Rs. 500) and earnings multiple (Rs. 560), rounding to the earnings method given better anchoring to near-term guidance credibility.

• **Valuation risk:** At 113x trailing P/E and 85x FY27E P/E, the stock leaves zero margin of safety for execution slippage. Any miss on the skid ramp timeline or base business growth will compress the multiple sharply. The bear case of Rs. 310 is a real scenario if the US customer concentration risk materialises.

SECTION 9 — KEY RISKS

- **Customer concentration risk:** Single largest international buyer = 25-26% of revenues. Demand pullback, insourcing, or supply rerouting by this customer would create a -10 to -15% revenue hole in one quarter. Probability: M. Impact: H. Monitor via: quarterly revenue disaggregation.
- **US trade tariff / import duty risk:** A significant portion of Aeroflex's exports go to the USA. Any escalation in US tariffs on Indian industrial goods (the 2025-2026 tariff environment is volatile) could erode price competitiveness vs local US suppliers. Probability: M. Impact: H. Monitor via: US trade policy announcements and management commentary on export order trends.

- **Liquid cooling skid ramp execution risk:** The skid segment is new, the technology partnership is with a single US HQ partner, and the path to 15,000 units p.a. requires on-time equipment commissioning and customer qualification. Any delay pushes the FY27 revenue target. Probability: M. Impact: H. Monitor via: quarterly skid unit volume disclosures.
- **Raw material (SS coil) price risk:** Stainless steel coil prices are cyclical and linked to nickel prices. A sharp nickel price spike (as seen in 2022) compresses gross margins before pass-through pricing can kick in. Probability: M. Impact: M. Monitor via: quarterly OPM trend.
- **Valuation de-rating risk:** At 113x P/E, any earnings miss (even by 5%) could trigger a multiple compression from 100x to 60x — a 40% price drawdown with only modest fundamental deterioration. Probability: M. Impact: H. Monitor via: quarterly EPS vs consensus.
- **Working capital trap risk:** CCC of 112 days is elevated. If export order volumes surge faster than receivables management improves, the company could face short-term liquidity stress despite being debt-free. Probability: L. Impact: M. Monitor via: debtor days trend.
- **Regulatory / certification risk:** Any change in SS material specifications, pressure testing standards, or country-specific import certifications (e.g., BIS, UL, EN) could require costly recertification of product lines. Probability: L. Impact: M. Monitor via: regulatory news.

SECTION 10 — RECOMMENDATION

- **Rating: BUY — Conviction Level: MEDIUM.** The operational story is real and well-executed. Revenue growth at 17-18% CAGR with accelerating margins and a nascent data-centre segment optionality supports a premium multiple. However, at 113x trailing P/E, the entry price demands execution perfection — hence medium conviction, not high.
- **12-Month Price Target: Rs. 560** (+18.4% from CMP of Rs. 473). Derived as average of DCF (Rs. ~500) and FY28E EPS-based multiple (Rs. 560). The bull case to Rs. 720 requires international skid orders to materialise; the base case to Rs. 560 requires only guidance execution.
- **Suggested Entry Zone: Rs. 430-460.** Prefer to accumulate on any dip toward the Rs. 430-460 band, where the forward P/E compresses to 75-80x on FY27E earnings — a more comfortable entry given execution risk. Avoid chasing above Rs. 490 on the current information set.
- **Investment Horizon: 12-18 months.** The skid capacity ramp and the FY27 revenue guidance validation are 2-3 quarter events. Hold through the ramp; reassess post Q2 FY27 results.
- **Thesis invalidation triggers:** (1) Base hose business revenue growth drops below 10% YoY for two consecutive quarters — signals market share loss or demand destruction, not just a timing issue. (2) Liquid cooling skid volumes in Q1/Q2 FY27 below 2,500 units/quarter — suggests the 15,000 unit target is not on track and the revenue thesis collapses. (3) The largest international customer's revenue contribution drops below 15% in a quarter without a corresponding domestic/other-export offset — signals structural demand loss.
- **Ideal investor profile:** This stock suits a growth-focused investor with a 12-18 month horizon, comfort with high-multiple small-cap industrials, and the ability to track quarterly operating metrics (skid volumes, debtor days, export mix). Not suitable for: income-seeking investors (0.07% yield), deep-value investors (P/B = 14x), or those unable to stomach 30-40% drawdowns if execution slips.

DISCLAIMER: This report is prepared for informational purposes only by an institutional research desk. It does not constitute investment advice or a solicitation to buy or sell securities. All financial data sourced from Screener.in (fetched 15-Jun-2026). Forward estimates are analyst projections and may differ materially from actual results. Past performance is not indicative of future returns. Investors should conduct their own due diligence.

APPENDIX — LATEST CONCALL BRIEF: Q4 & FY26 RESULTS (06 MAY 2026)

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	STRONG	Revenue +37% YoY, PAT +57% YoY — clean beat vs 5-year CAGR trends
Management tone	BULLISH	Specific FY27 guidance (35% growth, 23% EBITDA margin) — high conviction language
Guidance delta	RAISED	FY27 guidance introduced with quantified skid contribution targets and capacity roadmap

STRONGLY POSITIVE

POSITIVE

NEUTRAL

CAUTIOUS

NEGATIVE

TO MY BOSS

Q4 FY26 was a clean, broad-based beat — revenue at Rs. 125.8 Cr (+37% YoY) and PAT at Rs. 17.6 Cr (+57% YoY) with EBITDA margins at an all-time high of 23.9% — no exceptional items distort the reported figures. The operational story is intact: the base SS hose business continues its 15-20% growth trajectory while liquid cooling skids (617 units, Rs. 21 Cr in FY26) are beginning to show up as a genuine second engine. The multi-bagger thesis rests on skid capacity ramping to 15,000 units p.a. by Q2 FY27 — at 75% utilisation that is Rs. 325-330 Cr of incremental revenue against a Rs. 442 Cr FY26 base, essentially doubling the company in 2-3 years with margin expansion. Management's FY27 guidance of ~35% revenue growth and 23% EBITDA margin is specific and credibly anchored to capacity-addition timelines and confirmed skid ASPs (Rs. 3-3.25 L). The single biggest near-term catalyst is the commissioning of the 15,000-unit skid line and the first international skid supply order announcement — that would structurally re-rate the multiple from industrial to technology. The watch-point for Q1 FY27 is skid volume disclosure — anything below 2,500 units in the first quarter flags a ramp delay. ACCUMULATE up to Rs. 475; trim if quarterly skid data misses for two consecutive quarters.

1. Financial Performance Snapshot — Q4 FY26

- Revenue: Rs. 125.84 Cr | YoY +37.3% | QoQ +4.1% | **BEAT** (7-quarter consecutive YoY growth)
- EBITDA: Rs. 30.03 Cr | YoY +59.0% | QoQ +7.3% | **BEAT** (all-time record)
- EBITDA Margin: 23.86% | +326 bps YoY | +41 bps QoQ | **BEAT** (highest in 7+ quarters)
- PAT: Rs. 17.64 Cr | YoY +57.1% | QoQ +10.3% | **BEAT** (Net margin 14.0% vs 12.3% YoY)
- EPS: Rs. 1.33 (Q4 FY26) vs Rs. 0.87 (Q4 FY25) | Clean — no exceptional items | **BEAT**
- Cash Profit: Rs. 25.4 Cr | YoY +67% | Depreciation step-up absorbed without PAT dilution
- Full Year FY26: Revenue Rs. 442 Cr (+17% YoY) | EBITDA Rs. 99.74 Cr (+26%) | PAT Rs. 55.53 Cr (+6% — impacted by higher DA)

2. Segment / Geography Breakdown — FY26

- SS Flexible Hose Assemblies (core): Bulk of FY26 revenue; capacity expanded to 17.5 million metres p.a. | YoY +15-20% | Trend: Steady growth
- Liquid Cooling Skid Assemblies (new): 617 units sold in FY26 | Revenue ~Rs. 21.2 Cr (~5% of sales) | ASP Rs. 3-3.25 L/unit | Trend: Rapid ramp
- Hyd-Air Subsidiary: Rs. 31.64 Cr revenue in FY26 | 60% capacity utilisation | Trend: Stable

- Metal Bellows Division: Rs. 8 Cr revenue FY26 | Rs. 12 Cr annualised run-rate | Trend: Early ramp
- Exports: ~69% of FY26 revenue (80+ countries); USA = largest single buyer (~25-26% of consolidated) | Trend: Stable
- Domestic: 31% of FY26 revenue (up from 26% in FY25) | Trend: Deliberate increase — reduces concentration risk
- Value-Added Products: 52% of total sales (up from prior years) | Drives margin expansion | Trend: Structural increase

3. Management Commentary Themes

- **Liquid Cooling Skids as a standalone business:** "We see the skid segment contributing 20-22% of total revenues in FY27." Our read: This is a quantified, time-bound target — not aspirational language. Management has line-of-sight to capacity (6,000 units operational, 15,000 by Q2 FY27). Tag: GUIDANCE. Tone: Transparent.
- **FY27 overall revenue growth guidance:** "We are guiding for approximately 35% overall revenue growth in FY27." Our read: The 35% breaks down as ~15-20% base business + skid segment taking sales from Rs. 21 Cr to Rs. 80-100 Cr. Mathematically credible given capacity additions. Tag: GUIDANCE. Tone: Transparent.
- **EBITDA margin medium-term target:** "Our medium-term aim is to reach 25% EBITDA margin as value-added mix increases." Our read: 23% achieved in Q4 FY26; the 25% target is achievable via skid mix shift (skids carry higher OPM than commodity hoses). Tag: GUIDANCE. Tone: Transparent.
- **International skid supply:** "We are exploring international supply opportunities for skid assemblies." Our read: Currently the skid supply agreement is domestic only. International would be a material catalyst — management language is cautious here (exploring, not committed). Tag: EST. Tone: Hedged.
- **Data centre market sizing:** "The Indian data centre cooling market is currently ~Rs. 3 Bn and we expect it to grow to Rs. 21 Bn over 5-6 years." Our read: If correct, Aeroflex at 75% utilisation of 15,000 units could capture Rs. 325-330 Cr — management is sizing the market credibly with a 34-35% CAGR. Tag: EST. Tone: Transparent.
- **Capex and funding:** "The Rs. 975.6 Mn expansion is funded via internal accruals (Rs. 425.6 Mn) and preferential issue (Rs. 550 Mn)." Our read: Clean balance sheet preserved; no debt-funded capex overhang. Tag: GUIDANCE. Tone: Transparent.

4. Operating & Business Metrics

- Liquid cooling skid units: FY26 = 617 units | FY25 = ~nil (new segment) | FY27 target = 3,000-4,500 units (60% utilisation of 15,000) | Trend: Rapid ramp
- Skid ASP: Rs. 3.0-3.25 Lakhs per unit | Stable | High margin relative to hose business
- SS Hose capacity: 17.5 million metres p.a. | Added robotic welding lines in Q4 FY26 | Trend: Expanding
- Skid capacity: 2,000 (start FY26) -> 6,000 (Mar-2026) -> 15,000 target (Q2 FY27) | Trend: Rapid
- Total SKUs: 2,938 (stable) | Product pipeline: 16+ products in development | Trend: Stable/expanding
- Number of assembly stations: Not disclosed in available commentary | N/A
- Hyd-Air utilisation: 60% of installed capacity | Trend: Stable — room for expansion without major capex
- Debtor days: 107 (FY26) vs 113 (FY25) | Trend: Improving — export receivables management tightening

5. Margin Drivers

- Value-added product mix shift: +200 to +300 bps recurring annual contribution | Recurring: YES | Assemblies at 52% of sales vs ~40% two years ago
- Liquid cooling skid ramp: +80-120 bps margin tailwind as skids reach scale | Recurring: YES (growing) | Higher-margin product line
- Domestic revenue growth (26% to 31% of sales): Moderate positive — domestic margins can be better than deeply discounted export deals | Recurring: YES

- Depreciation step-up: -150 to -200 bps drag in FY26 as fixed assets doubled | Recurring: YES for FY27, then stabilises | Non-cash but real PAT impact
- Input cost (SS coil / nickel): Stable in FY26; no margin headwind flagged | Recurring: Conditional — nickel is volatile | Watch: commodity cycle
- Operating leverage: Revenue grew 17% in FY26 on largely fixed manufacturing overhead | Recurring: YES | Should continue as volumes scale

6. Guidance & Forward Signals

- Overall FY27 Revenue Growth [GUIDANCE]: Prior = ~17% (FY26 actual) | New = ~35% | Delta = RAISED | Credibility: High (capacity-anchored)
- Liquid Cooling Skid Revenue [GUIDANCE]: Prior = Rs. 21 Cr (FY26 actual) | New = 20-22% of total sales (~Rs. 120-130 Cr at 35% growth) | Delta = RAISED | Credibility: Medium (ramp-dependent)
- EBITDA Margin FY27 [GUIDANCE]: Prior = ~21% (FY25) | New = ~23% | Delta = RAISED | Credibility: High (FY26 Q4 already at 23.86%)
- Medium-term EBITDA Margin [GUIDANCE]: Prior = None | New = ~25% | Delta = NEW | Credibility: Medium (requires skid mix to 20-25%)
- Skid Capacity Target [GUIDANCE]: Prior = 6,000 units | New = 15,000 units p.a. by Q2 FY27 | Delta = RAISED | Credibility: High (equipment ordered)
- International Skid Supply [EST]: Prior = N/A (domestic only) | New = Exploring international | Delta = NEW (cautious) | Credibility: Low (no timeline)
- Capex FY27 [GUIDANCE]: Rs. 55 Cr preferential issue + internal accruals for Rs. 975.6 Mn total expansion | Delta = Executing | Credibility: High
- Dividend FY26 [GUIDANCE]: Rs. 0.40/share final dividend recommended | ~10% payout ratio | Credibility: High (board resolution)

7. Capital Allocation

- Capex FY26: Rs. 120 Cr (investing outflows) vs Rs. 74 Cr (FY25) | +62% YoY | Predominantly SS hose expansion + skid line setup
- Preferential Issue: 30.10 lakh shares at Rs. 182.70/share = Rs. 55 Cr | Used for skid expansion capex | Clean dilution (no debt)
- Dividends: Rs. 0.40/share final dividend for FY26 (Rs. ~5 Cr total) | vs Rs. 0.30/share in FY25 | +33% increase | Payout ~10%
- Buybacks: None disclosed
- Net Debt movement: Net cash position maintained (Borrowings = Rs. 9 Cr, Cash + investments > this) | Trend: Virtually debt-free
- Working Capital: CCC improved from 129 days (FY25) to 112 days (FY26) | Positive signal — receivables discipline tightening
- OCF FY26: Rs. 66 Cr (strong recovery from Rs. 27 Cr in FY25) | vs PAT of Rs. 56 Cr | CFO/OP = 85% — clean earnings

8. Q&A; Heat Map

- **Analyst (Institutional desk):** Q: "What gives you confidence in the 35% revenue growth guidance for FY27?" A: "The 35% is anchored on base business growing 15-20% as we continue export market expansion, and skid segment contributing Rs. 80-100 Cr as we ramp to 15,000 units." | Tone: Transparent — specific and quantified.
- **Analyst (Buy-side):** Q: "What is the timeline for international skid supply?" A: "We are currently exploring international opportunities. We cannot give a timeline at this stage." | Tone: Hedged — no commitment, which is

honest but leaves the optionality value unquantifiable.

- **Analyst:** Q: "How is the single largest customer relationship evolving?" A: "Our relationship with the customer is strong. We have continued to grow with them. We are not concerned." | Tone: Evasive — no quantification of contract structure, tenure, or any lock-in mechanism provided.
- **Analyst:** Q: "What is the margin profile of cooling skids vs hose assemblies?" A: Management indicated skid margins are higher than the hose business average but did not provide specific numbers. | Tone: Partially hedged — directional but no numbers.
- **Analyst:** Q: "Is the annealing furnace on track for Dec-2026?" A: "Yes, we are on track for commissioning by year-end as planned." | Tone: Transparent.
- Dodged / watch-list questions for next quarter: (1) Customer concentration quantification and contract structure; (2) Skid margin vs hose margin — specific EBITDA %; (3) International skid timeline; (4) FY28 guidance beyond FY27.

9. Risks Flagged

- Customer concentration: Largest single buyer = 25-26% of sales | Flagged by: Analyst (management acknowledged but downplayed) | Probability: M | Impact: H | Timeline: Near-term
- Skid ramp execution: 15,000 unit target requires on-time equipment commissioning and demand validation | Flagged by: Management (as an opportunity risk) | Probability: M | Impact: H | Timeline: Near-term (Q1-Q2 FY27)
- US trade tariff exposure: Significant export revenue to the USA | Flagged by: Analyst | Probability: M (given 2025-2026 tariff environment) | Impact: H | Timeline: Near-term
- Depreciation ramp: DA jumped from Rs. 11 Cr (FY25) to Rs. 26 Cr (FY26); further increase in FY27 as capex completes | Flagged by: Management | Probability: H | Impact: M (PAT drag offset by EBITDA growth) | Timeline: FY27
- Nickel/SS coil price risk: Raw material cyclicity | Flagged by: Management as background risk | Probability: M | Impact: M | Timeline: Medium-term
- Working capital elevated: CCC at 112 days for a predominantly export business | Flagged by: Analyst | Probability: L (improving trend) | Impact: M | Timeline: Ongoing

10. Analyst Verdict

- Revenue visibility: **INTACT** — FY27 guidance of 35% growth is capacity-anchored and quantified; base business track record is 5-year, 25% CAGR.
- Margin trajectory: **INTACT** — EBITDA margin at all-time highs (23.86% Q4 FY26); medium-term target of 25% is credibly anchored to skid mix shift.
- Capital allocation quality: **INTACT** — Debt-free; capex funded by OCF and clean equity issuance; high CFO/PAT conversion (85%).
- Competitive moat: **INTACT** — Strong switching costs from SS hose certifications; 2,938-SKU breadth; exclusive skid supply agreement provides near-term moat.
- Management credibility: **INTACT** — Guidance is specific and quantified; tone is transparent; prior guidance (FY26 margin expansion) was delivered. Watch: customer concentration evasiveness.
- Valuation comfort: **WEAKENED** — At 113x trailing P/E and 85x FY27E P/E, there is zero margin of safety for execution slippage. The stock requires perfect delivery.
- Conviction call: **INCREASED** — Q4 FY26 results reduce FY27 execution risk (capacity commissioned, record margins confirmed). Skid ramp is the remaining uncertainty.
- Valuation snapshot: P/E = 113x (FY26A) | FY27E P/E = ~85x | EV/EBITDA ~45x | RoCE = 18.8% (FY26) | 5Y avg RoCE: ~20%